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Finance and Banking

Banks or financial institutions main goal is to play as a mediator in economic activities helping individuals and businesses fulfill their monetary or financial requirements, either by depositing money, investing it, or managing it.

Key terminology

Loans:

A type of credit vehicle in which a sum of money is lent by a financial organization to another party in exchange for future repayment of the value or principal amount to be paid back with interest over a set period of time.

Loan modification

It is an alteration on the mortgage loan to provide a more affordable payment. It usually involves extendin g the term of the loan in order to make lower payments for a longer period of time. others.

Annual porcentage rate:

It is the total cost of borrowing over a 12 month period and is displayed as a percentage.

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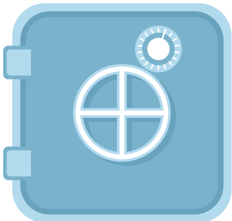
Types of Loans

All loans fall into two categories:



Secured loan

Loan attached to assets

Mortgage Loan

A loan used to purchase or maintain a home, land, or other types of real estate.

The non-payment of these types of loan, leads to repossesion of the asset.

Unsecured loan

Lump sum to be paid back in fixed installments

Vehicle finance

A loan used to purchase a vehicle.

Personal loans

Failing to make a payment by the due date, this is known as delinquency, but if you miss several payments on your loan, you are considered to be at Default.

Payment arrangements. A payment arrangement is an agreement that allows you to pay overdue balances and get your account up-to-date.

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Forbearance agreement. It is a temporary postponement of mortgage payments that relieves borrowers going through a financial hardship instead of forcing a property into foreclosure

Foreclousure. When a homeowner fails to make their mortgage payments, the bank can seize or repossess the property. This legal process is called Foreclosure.

When someone is losing the property to the bank there are a few alternatives in order to avoid foreclosure. Two of them are Short sale and Deed-in-lieu of foreclosure.

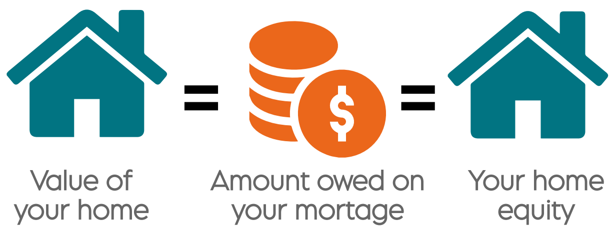
Short sale

When a home owner sells his or her property for less than the amount owed on their mortgage because they cannot continue paying for it. This allows the bank to recoup a portion of the mortgage loan owed to them.

Deed-in-lieu of foreclosure

Also known just as deed-in-lieu, this is another remedy in order to avoid foreclosure. The borrower transfers the title to the property to the bank and, in return, the bank cancels the foreclosure.

Home equity: Subtraction of the amount you owe on all loans secured by your house from its appraised value. In other words, the difference between how much your home is worth and how much you owe on your mortgage.



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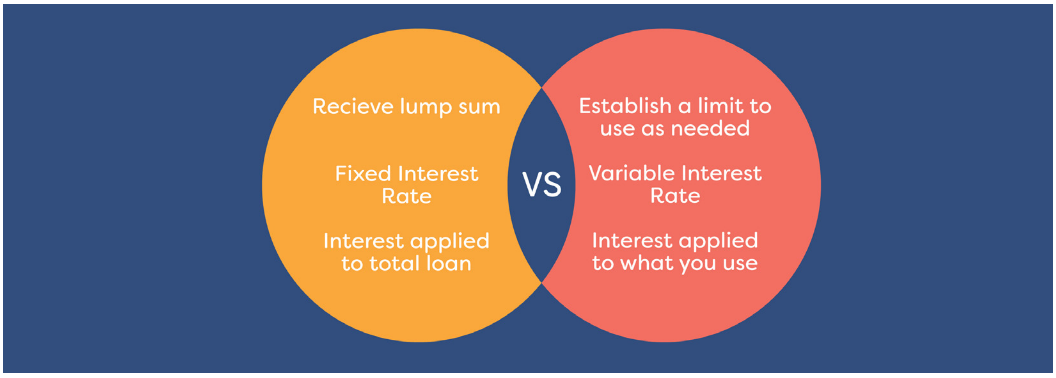
You can use the equity in your home to secure a loan or a line of credit.
This is called a Home equity loan or a Home equity line (HELOC)



Fixed rate

Large Lump sum which is paid as a loan with fixed monthly payments

Can be used for recurring expenses

Good for those who want to consolidate a debt or make home improvements if they know the cost of it.
Fixed interest rate for 10 years

May loose the house if unable to pay

Variable rate

Approval for a maximun amount available and only borrow what you need

Used for non-recurring expenses

Good for those who want to work on projects.

Able to withdraw funds from line of credit as long as the pay interest

May borrow as little or as much as they need

Escrow account: It's an easy way to manage property taxes and insurance premiums for your home.
With this account you can make one monthly payment where part goes toward your mortgage payment and the other part goes into your escrow account for property taxes and insurance premiums.